

Processes for individuals

Renuka Sane

31 July 2015

Part I

Overview

Why individuals?

- Individuals and sole proprietorships are a large component of the credit market.
- Often in the form of “small and medium enterprises”.
- Small enterprises contribute 45% of India’s industrial output, 40% of the country’s total exports and create 1.3 million jobs every year (Report by the SMB Chamber of Commerce).
- Anecdotes suggest that recovery does not happen leading to losses for the creditor.
- If there is recovery, it often happens through co-ercive practices, leading to losses for the debtor.
- Huge impact on the availability of credit.

Goals

- Providing a fair and orderly process for dealing with the financial affairs of insolvent individuals
- Providing mechanisms that enable both debtor and creditor to participate with the least possible delay and expense
- Providing effective relief or release from the financial liabilities and obligations of the insolvent
- Providing the correct ex-ante incentives so that individuals are not able to unfairly strategise during the process of bankruptcy.

Entities covered

- Enterprises that are not registered as a limited liability companies under the Companies Act, 1956, Companies Act, 2013.
- Personal guarantors
- Consumer finance borrowers
- Student loan borrowers
- Farmers (usually on PSL loans)
- Micro-finance borrowers (usually in groups)

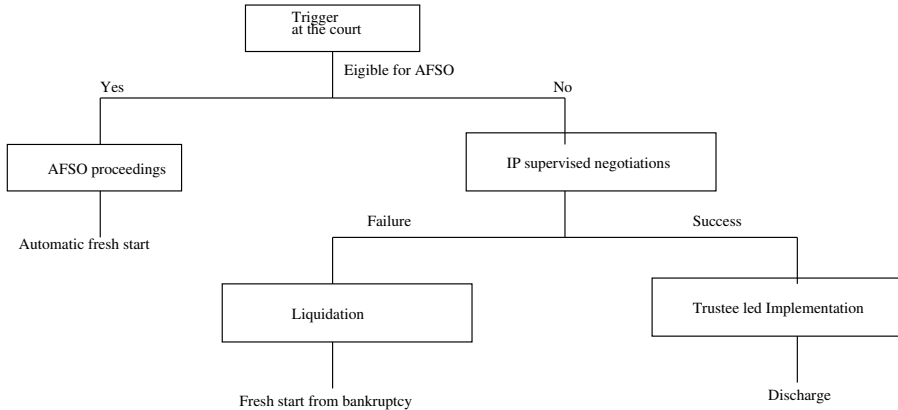
Three distinct processes

Automatic Fresh Start Order (AFSO) is a process by which individuals with debts lower than a specified amount will have their debts written off, and be given a “fresh start”.

Insolvency Resolution Process (IRP) will involve a process of negotiation between debtors and creditors, outside the court through the Resolution Professional (RP), leading up to a repayment plan. Discharge will be possible only as per the terms of the negotiation giving the debtor an “earned start”.

Bankruptcy procedure (BP) is a process led by the Adjudication Authority, once the IRP has failed. Discharge in the form of “discharge-from-bankruptcy”

Process flow



Process: AFSO and IRP

- 1 Who can trigger insolvency?
- 2 What is the process for triggering insolvency?
- 3 The acceptance of the application at the Adjudicator
- 4 Moratorium period
- 5 The process of negotiation
- 6 Implementation of the repayment plan
- 7 Restrictions on the debtor
- 8 Discharge

Process: Court-led bankruptcy

- 1 Steps at the start of the bankruptcy
- 2 Responsibilities of the trustee
- 3 Assets in bankruptcy
- 4 Priority of payout
- 5 Rules to close bankruptcy
- 6 Discharge

Part II

Process: AFSO and IRP

Who can trigger?

- 1 The Automatic Fresh Start Order Process can be triggered by the [debtor](#).
- 2 The Insolvency Resolution Process can be triggered by either the [debtor](#) or the [creditors](#)
- 3 For triggering, either party will have to submit documentation specified in the Code to the adjudicating authority.
- 4 The Code specifies who is a debtor, and a financial creditor
- 5 The Code specifies the debts that qualify for the insolvency procedure.
- 6 Secured debts, for example, do not qualify for the insolvency procedure.

How to trigger?

- 1 The debtor will have to submit proof of failure to pay debts when they are due. This must contain
 - 1 A list of all debts, secured and unsecured
 - 2 The amount of each debt
 - 3 The names of creditors
 - 4 Details of security (collateral) held in respect of any of the debts
 - 5 Other financial information w.r.t to assets and cash flow status of the debtor for upto two years prior
- 2 The application of the creditor must contain
 - 1 Record of default or Record of undisputed bills
 - 2 Evidence of **reasonable prospect** of inability to pay debts.
- 3 The Code specifies what constitutes “reasonable prospect” of inability to pay debts.
- 4 The debtor/creditor may propose a RP in their application.

Acceptance of the application at the Adjudicator

- 1 Adjudicating authority will appoint an RP within 24 hours only to test the validity of the application.
- 2 The RP will test for validity of the application. Can recommend refusal.
- 3 The debtor should not have made a previous application for in the last 12 months.
- 4 On receipt of recommendation by the RP, the Adjudicating Authority will provide a stamp of approval.
- 5 The RP proposed by debtor/creditor will be note.
- 6 If neither party has proposed a RP, then the Adjudicating authority will request the IBR to nominate one.
- 7 If at any point the appointed RP is unable, or unwilling to function in his role, another RP may be appointed.

Moratorium

- 1 Will commence from the date of the acceptance of the insolvency application.
- 2 Will be applicable to each **qualifying** debt. The Code may include secured creditors for the purpose of the moratorium.
- 3 All creditors will have the opportunity to lodge their claim
- 4 Will be for a period of **one year** in the case of the AFSO.
- 5 will be for **three months or till the debtor and creditor agree on a repayment plan**, whichever is earlier in the case of the IRP.
- 6 During this period no recovery or legal proceedings by creditors
- 7 A creditor can object to the inclusion of a particular debt in the list of debts eligible for the AFSO within a specified time frame that falls within the moratorium period.
- 8 If the creditors objection is accepted after investigation by the RP, that particular debt may be struck off the list of qualifying debts.
- 9 The debtor will be required to notify the Adjudicating Authority if he becomes aware of any error or omission in the information supplied, or if there is any change in circumstance.

The process of negotiation

- 1 The debtor will make a proposal of a repayment plan to the creditors for with the help of an RP.
- 2 The proposal must contain
 - 1 The balance sheet of the debtor, include assets and cash-flows for the past two years.
 - 2 A proposal with the details of the repayment plan
- 3 The proposal will be sent to all creditors, and all creditors will be summoned to a creditors meeting.
- 4 The meeting must take place within 1 month of the debtor sending the proposal.
- 5 The details of the creditor meeting, including the names of creditor, the name of the debtor and the location of the meeting must be placed on the website of the IBR.
- 6 The proposal may be modified, but the final proposal must have full consent of the debtor.

The process of negotiation

- 1 The Code shall specify the rules of negotiation, if any.
- 2 The final arrangement must not affect rights of secured creditors without their consent.
- 3 If the secured creditors do not consent to the negotiations, and choose to transfer their security to themselves, their realisations would be net of the IRP costs.
- 4 The final decision must be reported to the relevant Adjudicator authority.
- 5 The entire process of negotiation should take place within the moratorium period of 3 months. If a decision cannot be reached, one extension for a period not exceeding 3 months can be granted.

Implementation of the repayment plan

- 1 Once the repayment plan is lodged with the Adjudicator, the terms of the agreement will bind all parties affected by it.
- 2 The parties concerned may choose to continue with the same RP, appoint a new RP or a third-party Trustee to oversee the implementation of the plan.
- 3 The time-frame for the implementation will be a function of the terms of agreement of the plan.
- 4 The terms of agreement of the plan will prohibit creditors from taking any action against the debtor, except as agreed in the plan.
- 5 If the debtor is found in violation of the agreement in the repayment plan, the Adjudicator may revoke the voluntary agreement and require the debtor to file for Adjudicator-led bankruptcy process.

Restrictions on the debtor

- 1 The Code will specify restrictions on the debtor till the debtor is awarded a fresh or an earned start
- 2 The restrictions will include:
 - 1 Not be permitted to dispose assets (unless as specified in the repayment plan).
 - 2 Have to specify to other trading partners that the debtor is under the process of the AFSO or IRP as the case may be.
 - 3 Have to inform all parties about his on-going AFSO or IRP before entering commercial or financial transactions.
 - 4 Have to make all assets, and financial statements available, including those of associated entities such as companies and trusts.
 - 5 Not permitted to travel without the permission of the RP.

Discharge

- AFSO** When the moratorium period ends, AFSO is issued. This discharges the debtor from all debt specified in the Order. The record will stay on the credit history of the debtor for a period of 5 years.
- IRP** Will be granted in accordance with the repayment plan. Possible that discharge is granted before full repayment, as negotiated in the plan, is complete. The successful IRP will be recorded in the credit history of the debtor and will stay for a period of 5 years.

Part III

Process: Bankruptcy Process

Triggering bankruptcy

There are two ways to trigger bankruptcy:

- 1 Failure by creditors and debtors to negotiate a solution in an ongoing IRP. This must be made by [RP who was overseeing the IRP process](#).
- 2 Application by financial creditors for a bankruptcy as part of a IRP, on a failure to adhere to terms solution of a previous IRP. This may be made by [creditors](#).

Once the bankruptcy is filed

- 1 The adjudicator will pass an order creating a trust which becomes the owner of the assets of the individual
- 2 The adjudicator will issue an order to appoint the trustee through any of the following ways:
 - 1 The RP of the IRP can continue as the trustee.
 - 2 The IBR can recommend, with reason, a new trustee to replace the RP to the adjudicator.
 - 3 The adjudicator can apply to the IBR for a replacement trustee.
 - 4 The adjudicator may appoint a trustee other than a RP.
- 3 The trustee can be changed during the process of bankruptcy.

Responsibilities of the trustee

- 1 Verification of all claims made on the assets of the debtor
- 2 Investigate the affairs of the debtor
- 3 Admit debts
- 4 Examine the debtor
- 5 Identify the assets of the debtor that are available for realisation
- 6 Identify the income sources of the debtor

Assets in bankruptcy

- 1 All assets owned by the debtor, including those acquired or devolved to the debtor after the commencement of bankruptcy, can be used in realising value
- 2 Items held in trust, or loaned to the debtor do not vest in the trustee
- 3 The following assets will be exempted:
 - 1 Assets held as collateral to certain financial market institutions
 - 2 Necessary clothing and household items
 - 3 Tools of trade to an indexed amount
 - 4 Financial assets (and interest earned on the financial assets) in pension and provident funds (upto a specified amount)
 - 5 Any right to recover damages or compensation for personal injury or wrong doing or in respect of the death of the spouse or member of family of the debtor.
 - 6 The dwelling unit (family home) of the debtor (upto a specified amount)
- 4 The trustee will invite the co-owner of the property to either buy the bankrupt's interest or join in selling the property. The trustee can, however, force the sale of joint property if the co-owner chooses to not co-operate.

Closing the bankruptcy

- 1 The trustee will give a notice of closing the bankruptcy to the Adjudicating authority after realising the estate
- 2 The notice will propose a final date by which all the claims against the bankrupt will be closed off.
- 3 The trustee will also propose a final meeting with all creditors
- 4 All creditors will receive a report of the administration of the bankrupt's estate
- 5 The trustee will be released from duty, and the bankruptcy will come to a close.

Discharge

- 1 The debtor will be granted a “discharge from bankruptcy” at the end of **one year**. This record will stay on the credit history **permanently**.
- 2 The bankruptcy procedure may continue. The discharged bankrupt will be required to co-operate with the relevant authority to conclude the bankruptcy process.
- 3 The discharge does not release the debtor from liabilities specified by the Code.

Part IV

Offences and Appeals

Offences

- 1 Fraud
- 2 Absconding
- 3 False statements

Appeals

- 1 The AFSO Order.
- 2 Fraud in an agreement under the IRP.
- 3 The adjudication order during a Adjudicator-led bankruptcy procedure that confirms the status of a debtor as insolvent.
- 4 The final order of the Adjudicator in the case of bankruptcy.

Part V

What next?

What have we missed?

- 1 Fees and charges
- 2 Process details
- 3 Bankruptcy annulment?
- 4 Offences?
- 5 Reasons for appeals?

What have we missed?

- 1 Fees and charges
- 2 Process details
- 3 Bankruptcy annulment?
- 4 Offences?
- 5 Reasons for appeals?